Practice workbook · Macroeconomic objectives and trade-offs

The government's macroeconomic objectives and the conflicts between them: unemployment and inflation, growth and inflation, growth and the environment, and inflation and the current account.

14 question parts: 1 worked-example retry and 13 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T21-35

1. Question 4 · part b · 6 marks

2019 JUN · Paper 02

Worked-example retry · Attempt part b only.

4 GDP per capita is a measure of a country's economic output that accounts for population. Figure 4 shows the population and gross domestic product (GDP) for Vietnam in 2016.

	2016
Population (million)	92.7
GDP (US$ million)	202 600

Figure 4

(Source: © 2018 The World Bank Group)

(a) Calculate, to two decimal places, the GDP per capita for Vietnam in 2016. You are advised to show your working.

(2)

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1. Question 4 · part b · 6 marks

2019 JUN · Paper 02

Worked-example retry · Attempt part b only.

The unemployment rate fell in Vietnam between 2015 and 2016 but in the same period the inflation rate increased.

(b) Analyse how a fall in unemployment may have caused an increase in Vietnam's inflation rate.

(6)

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1. Question 4 · part b · 6 marks

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Worked-example retry · Attempt part b only.

A report by the charity Oxfam, stated that Vietnam has 210 super-rich people. Their combined earnings for one year are enough to take 3.2 million people out of poverty and end absolute poverty in Vietnam. To reduce inequality and poverty, Oxfam is calling on international leaders to increase taxes to fund healthcare, education and job creation. Oxfam also asked business leaders to pay employees a living wage and pay their fair share of tax.

(c) With reference to the data above and your knowledge of economics, evaluate whether an increase in progressive taxes is the most effective way to reduce inequality and poverty for a country such as Vietnam.

(12)

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1. Question 4 · part b · 6 marks · Working and answer

Working and answer

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2. Question 2 · part c · 1 mark

2020 JAN · Paper 02 (regional R)

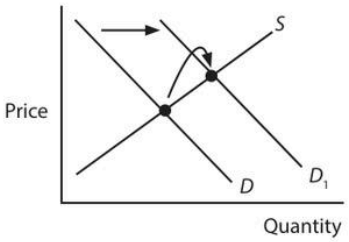
Further practice · Attempt part c only.

2 In 2018, the European Union (EU) trade bloc started to reduce agricultural subsidies to farmers within the EU.

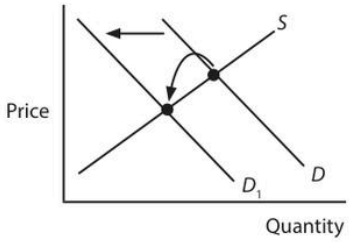
(a) Which **one** of the following diagrams shows the market for agricultural products following the removal of the subsidy?

(1)

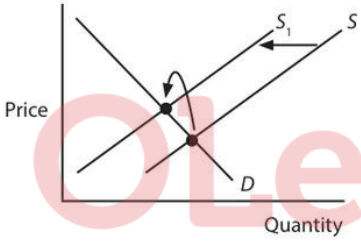
☒ **A**



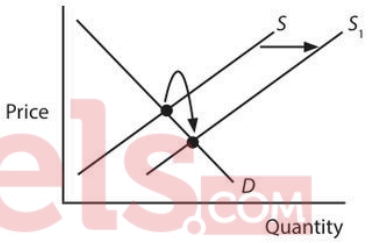
☒ **B**



☒ **C**



☒ **D**



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2. Question 2 · part c · 1 mark

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Further practice · Attempt part c only.

(b) Which **one** of the following is likely to result from an increase in free trade?

(1)

- ☒ **A** Increased prices
- ☒ **B** Increased choice for consumers
- ☒ **C** Decrease in standards of living
- ☒ **D** Decrease in market opportunities for business

(c) State **one** macroeconomic objective.

(1)

(d) What is meant by the term revaluation?

(2)

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2. Question 2 · part c · 1 mark · Working and answer

Working and answer

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3. Question 3 · part c · 3 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

3 (a) Which **one** of the following policies is most likely to reduce the rate of inflation?

(1)

- ☒ **A** Lower interest rates
- ☒ **B** Increased money supply
- ☒ **C** Higher government spending
- ☒ **D** Higher taxation

(b) In an exchange rate system with no government intervention, a decrease in the exchange rate is known as

(1)

- ☒ **A** appreciation
- ☒ **B** devaluation
- ☒ **C** depreciation
- ☒ **D** revaluation

In 2018, the annual rate of inflation in Egypt was 16% in September and 17.7% in October.

(c) Explain **one** likely impact of this change in inflation on the current account of the balance of payments for a country such as Egypt.

(3)

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3. Question 3 · part c · 3 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

The demand for the US$ changed following the publication in 2019 of the latest US growth rate report.

(d) Analyse the impact of currency speculators on the supply and demand of the currency for a country such as the US.

(6)

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Turn over

3. Question 3 · part c · 3 marks · Working and answer

Working and answer

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4. Question 1 · part d · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part d only.

1 (a) International trade that takes place with no restrictions is known as

(1)

- ☒ **A** globalisation
- ☒ **B** protectionism
- ☒ **C** free trade
- ☒ **D** Foreign Direct Investment

(b) What is the name given to a country's exports and imports of services?

(1)

- ☒ **A** Visible trade
- ☒ **B** Invisible trade
- ☒ **C** Transfer payments
- ☒ **D** The balance of payments

(c) What is meant by the term unemployment?

(2)

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4. Question 1 · part d · 2 marks

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(d) What is meant by the term trade-off?

(2)

(e) Calculate, to **two** decimal places, the **rate of unemployment** for a country which has a labour force of 72 million of which 8 million are unemployed. You are advised to show your working.

(2)

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4. Question 1 · part d · 2 marks · Working and answer

Working and answer

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5. Question 4 · part c · 12 marks

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Further practice · Attempt part c only.

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4 Figure 3 shows the amount the US spent on education in 2017–2018.

Fiscal Year	$bn
2017	68
2018	59

(Source adapted from: https://www2.ed.gov/about/overview/budget/budget18/summary/18summary.pdf)

Figure 3

(a) Calculate to two decimal places the **percentage change** in the amount spent on education in the US from 2017–2018. You are advised to show your working.

(2)

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5. Question 4 · part c · 12 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part c only.

The World Trade Organisation (WTO) has 164 members representing 98% of world trade. The US joined in 1995 and has been involved in 422 trade disputes.

(b) Analyse the role of the World Trade Organisation (WTO) in the growth of international trade.

(6)

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5. Question 4 · part c · 12 marks

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Further practice · Attempt part c only.

In 2018, the USA increased its emissions of carbon dioxide. This increase happened even though large numbers of coal-fired power stations were closed and American consumers purchased nearly double the number of electric cars. The main reason, often stated as a benefit to an economy, was high economic growth.

A booming US economy has meant increased industrial production, more truck and air travel and more offices and other workplaces to heat. The result is that the USA will have to do even more in the coming years to meet international commitments for greenhouse gas reductions by increasing its protection of the environment.

(Source adapted from: https://www.nbcnews.com/news/us-news/economic-boom-spikes-carbon-emissions-despite-green-tech-gains-n956336)

(c) With reference to the data above and your knowledge of economics, evaluate whether there is a trade-off between economic growth and environmental protection for a country such as the USA.

(12)

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5. Question 4 · part c · 12 marks

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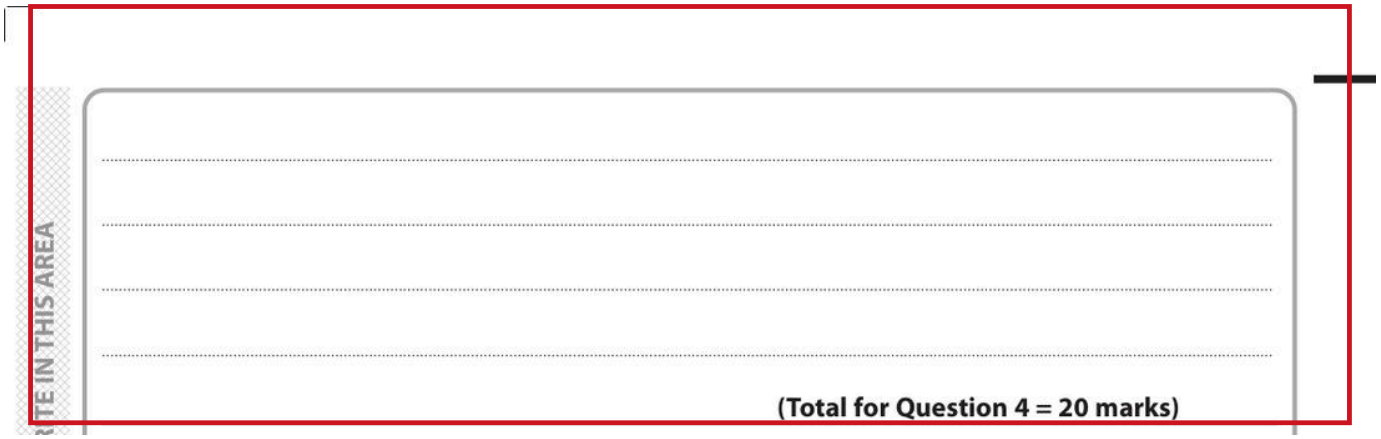
Further practice · Attempt part c only.



5. Question 4 · part c · 12 marks

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Further practice · Attempt part c only.



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5. Question 4 · part c · 12 marks · Working and answer

Working and answer

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6. Question 3 · part a · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part a only.

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3 (a) Which **one** of the following is likely to be a trade-off as a result of increased economic growth?

(1)

- ☒ **A** Increased employment
- ☒ **B** Increased inflation
- ☒ **C** Higher standards of living
- ☒ **D** Higher fiscal surplus

(b) Which type of taxation has a higher proportion of income paid as income rises?

(1)

- ☒ **A** Indirect
- ☒ **B** Progressive
- ☒ **C** Business
- ☒ **D** Value added tax (VAT)

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6. Question 3 · part a · 1 mark · Working and answer

Working and answer

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7. Question 2 · part a · 1 mark

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Further practice · Attempt part a only.

2 (a) Which **one** of the following means having more of one thing but less of another thing?

(1)

- ☒ **A** Menu costs
- ☒ **B** Trade-off
- ☒ **C** Opportunity cost
- ☒ **D** Trading bloc

(b) Which **one** of the following is a role of a central bank?

(1)

- ☒ **A** Investing in firms
- ☒ **B** Raising taxes
- ☒ **C** Asset purchasing
- ☒ **D** Lending money to individuals

(c) State **one** type of inflation. (1)

(d) What is meant by the term fiscal surplus? (2)

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7. Question 2 · part a · 1 mark · Working and answer

Working and answer

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8. Question 2 · part c · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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2 (a) When a central bank buys government bonds from commercial banks it is known as

(1)

- ☒ **A** asset purchasing
- ☒ **B** privatisation
- ☒ **C** payment of interest
- ☒ **D** deregulation

The euro (€) is the currency used in Italy and the pound sterling (£) is the currency used in the UK.

(b) If the exchange rate changes from £1 = €1.20 to £1 = €1.10 then

(1)

- ☒ **A** UK pound sterling (£) has appreciated against the euro (€)
- ☒ **B** holidays in Italy will be cheaper for UK tourists
- ☒ **C** imports from Italy to the UK will be cheaper
- ☒ **D** UK exports to Italy will be cheaper

(c) State **one** possible trade-off with economic growth.

(1)

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(d) What is meant by the term devaluation?

(2)

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Turn over ▶

8. Question 2 · part c · 1 mark · Working and answer

Working and answer

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9. Question 3 · part a · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part a only.

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3 (a) A decrease in unemployment is likely to result in

(1)

- ☒ **A** a decrease in tax revenues
- ☒ **B** a decrease in economic growth
- ☒ **C** an increase in inflation
- ☒ **D** an increase in relative poverty

(b) Which **one** of the following is a possible disadvantage of Foreign Direct Investment (FDI)?

(1)

- ☒ **A** Increased level of skills
- ☒ **B** Greater environmental damage
- ☒ **C** Higher employment levels
- ☒ **D** Faster economic growth

In December 2021, the US current account deficit increased to $214.8bn. This was the largest deficit since 2006.

(c) Explain **one** reason why an increase in the quality of foreign goods may have resulted in a negative impact on the US current account.

(3)

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9. Question 3 · part a · 1 mark · Working and answer

Working and answer

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10. Question 2 · part c · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part c only.

2 (a) What is the main reason for a government to devalue its currency?

(1)

- ☒ **A** To increase the demand for its exports
- ☒ **B** To decrease the demand for its exports
- ☒ **C** To increase the demand for imports
- ☒ **D** To decrease foreign investment

(b) Which **one** of the following is the most likely reason for increased globalisation?

(1)

- ☒ **A** An increase in tariffs and quotas
- ☒ **B** An increase in the cost of transport
- ☒ **C** An increase in the significance of MNCs
- ☒ **D** An increase in the cost of communication

(c) State **one** possible macroeconomic objective for a government.

(1)

(d) What is meant by the term seasonal unemployment?

(2)

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10. Question 2 · part c · 1 mark · Working and answer

Working and answer

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11. Question 1 · part g · 3 marks

2024 JUN · Paper 02

Further practice · Attempt part g only.

1 (a) Which **one** of the following is an advantage of multinational corporations (MNCs) operating in a country?

(1)

- ☒ **A** Avoiding paying taxes
- ☒ **B** Environmental damage
- ☒ **C** Developing skills
- ☒ **D** Moving profits abroad

(b) Which **one** of the following is a measurement of gross domestic product (GDP)?

(1)

- ☒ **A** Total value of goods and services traded within an economy
- ☒ **B** Total value of goods and services produced within an economy
- ☒ **C** Total value of goods and services exported by an economy
- ☒ **D** Total value of goods and services imported by an economy

(c) What is meant by the term the current account on the balance of payments?

(2)

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11. Question 1 · part g · 3 marks

2024 JUN · Paper 02

Further practice · Attempt part g only.

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(d) Describe **one** way business activity can damage the environment.

(2)

Figure 1 shows selected UK Government receipts from taxation in February 2023.

	£bn
Income tax	20.0
Sales tax (VAT/GST)	14.3
Business tax	7.6
Excise duties	3.7
Customs duties	0.4

Figure 1

(e) Calculate the **total amount of revenue** in £bn raised by direct taxes in February 2023. You are advised to show your working.

(2)

11. Question 1 · part g · 3 marks

2024 JUN · Paper 02

Further practice · Attempt part g only.

In January 2023, China introduced a quota on imports of crude oil into the country.

(f) Using the diagram below, draw the effects of the introduction of the quota on the equilibrium price and quantity of crude oil in China. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

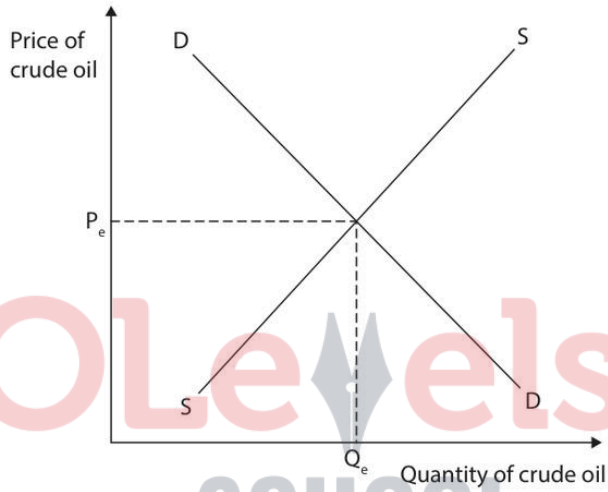


Figure 2

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11. Question 1 · part g · 3 marks

2024 JUN · Paper 02

Further practice · Attempt part g only.

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In 2021, the global economy experienced a period of rapid growth. This growth was accompanied by rising inflation in many parts of the world due to problems with the supply of goods.

(g) Explain **one** reason why there may be a link between economic growth and inflation for an economy.

(3)

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Turn over

11. Question 1 · part g · 3 marks

2024 JUN · Paper 02

Further practice · Attempt part g only.

The African Continental Free Trade Area (AfCFTA) is a free trade area that includes most of Africa. It connects 1.3bn people across 55 countries with a combined gross domestic product (GDP) of $3.4 trillion. South Africa is an important member of the AfCFTA.

(h) With reference to the data above and your knowledge of economics, analyse the disadvantages to firms in South Africa of being a member of the AfCFTA.

(6)

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11. Question 1 · part g · 3 marks · Working and answer

Working and answer

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12. Question 2 · part e · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part e only.

2 (a) Which **one** of the following is a rise in the value of an exchange rate in a floating exchange rate system?

(1)

- ☒ **A** Appreciation
- ☒ **B** Depreciation
- ☒ **C** Revaluation
- ☒ **D** Devaluation

(b) Which **one** of the following is a reason why there is protection for international trade?

(1)

- ☒ **A** To allow dumping
- ☒ **B** To promote free trade
- ☒ **C** To protect domestic jobs
- ☒ **D** To increase the current account deficit

(c) State **one** possible impact of globalisation on consumers.

(1)

(d) What is meant by the term asset purchasing?

(2)

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12. Question 2 · part e · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part e only.

In China there are restrictions on coal consumption and emissions from factories. These restrictions have led to job losses in some industries.

(e) Explain **one** reason why there might be a trade-off between economic growth and environmental protection for an economy such as China.

(3)

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12. Question 2 · part e · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part e only.

Figure 3 shows the supply of and demand for UK pounds (£) and the equilibrium exchange rate against the US dollar ($).

(f) Using the diagram below, draw the likely effect of a decrease in imports from the US on the equilibrium exchange rate of the UK pound (£) against the US dollar ($). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

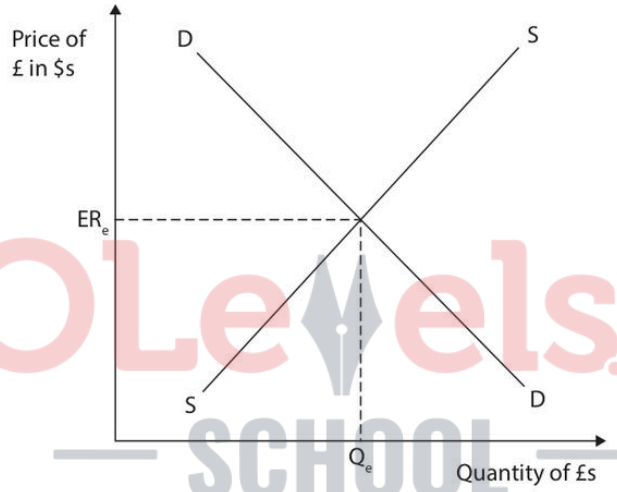


Figure 3

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12. Question 2 · part e · 3 marks · Working and answer

Working and answer

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13. Question 2 · part c · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

2 (a) The percentage of income tax paid by an individual in a progressive tax system

(1)

- ☒ **A** remains the same for all income levels
- ☒ **B** decreases with higher income levels
- ☒ **C** increases with higher income levels
- ☒ **D** is capped once income levels reach a certain threshold

(b) A depreciation in a country's exchange rate is most likely to lead to

(1)

- ☒ **A** an increase in exports and a decrease in imports
- ☒ **B** a decrease in exports and a decrease in imports
- ☒ **C** an increase in exports and an increase in imports
- ☒ **D** a decrease in exports and an increase in imports

(c) State **one** possible trade-off with inflation.

(1)

(d) What is meant by the term direct tax?

(2)

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13. Question 2 · part c · 1 mark · Working and answer

Working and answer

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14. Question 1 · part b · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part b only.

1 (a) Which **one** of the following is the most likely reason for increased globalisation?

(1)

- ☒ **A** Higher number of tariffs and quotas
- ☒ **B** Lower transportation costs
- ☒ **C** Reduced significance of multinational corporations
- ☒ **D** Increased communication costs

(b) What is likely to happen if a government successfully reduces unemployment?

(1)

- ☒ **A** Inflation might rise as more people have money to spend
- ☒ **B** More people working leads to lower overall economic growth
- ☒ **C** Inflation decreases because people have less money to spend
- ☒ **D** Government spending on benefits would increase

(c) What is meant by the term trading bloc?

(2)

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14. Question 1 · part b · 1 mark · Working and answer

Working and answer

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